

Saving GRACE

The New Pension Scheme is an idea whose time has come but it needs to be fine-tuned



| By Nivedita Mukherjee |

It was the perfect May Day gift, or so thought the Government. The theme: at just Rs 6,000 per year or Rs 500 per month any Indian can open an account and secure his or her future. All one needs to do is to walk into one of the 22 points of presence (PoP) and choose an investment option, get a permanent retirement account number (PRAN) along with a telephone password (TPIN) and an Internet access (IPIN). On the face of it, the Government has finally launched—even if through an ordinance—the New Pension Scheme (NPS). But prospective investors have more questions than answers.

But first the good news. The NPS, as Sundeep Sikka, CEO of Reliance Mutual, says, is “by all accounts a path-breaking initiative in a country with neither a social security net nor

old age security plans”. As with a mutual fund, the investor trusts his money with a fund manager. For the NPS the Government has listed six asset managers, including Reliance Capital, ICICI Prudential, SBI, IDFC, UTI and Kotak Mahindra. The NPS promises two types of accounts—non-withdrawal and voluntary savings. Initially though only one is being offered where an investor can accumulate savings but cannot withdraw unless to build a house or when critically ill. The NPS as an idea has the power to transform the way Indians save for the future. Not surprisingly, D. Swarup, chairman, Pension Fund Regulatory and Development Authority (PFRDA), expects “around 80 million people to join the NPS”. The pension business—assets under management—could touch Rs 50,000 crore in five years and quadruple to Rs 2,00,000 crore by 2020, says Tarun Chugh, who heads

Alternate Channels at ICICI Pru Life. Thanks to the projections, the PFRDA has been able to keep the fee low.

The choice and mode of investment too have been kept simple. The subscriber has three asset classes to choose from. The first one, E, enables you to invest in equities, not directly but through index funds which could be BSE Sensex or Nifty50. The second option, C, is investment in fixed-income instruments, which could range from corporate debt to bank papers and the third safest option is, G, investment in government securities. Returns naturally will depend on the choice of asset class. The NPS allows you to choose your own mix of instruments to invest in with a maximum 50 per cent cap on equity or take advantage of the auto option where, till the age of 35, half the investment will be equity, 30 per cent in C and 20 per cent in G. After 35 the investments will